Co-Tech Development Corp. (8358.TWO)

Earnings Review: Capacity expansion extended through 2029, fully booked by customers; Buy with new TP of NT$990

8358.TWO	12m Price Target: **NT$990.00**	Price: **NT$303.00**	Upside: **226.7%**

Co-Tech's 3Q26 core business (operating income) was 7/5% lower than GSe/BBG consensus, mainly due to higher summer electricity rates which led to a 0.7ppt QoQ decrease in 3Q26 GPM, and came in 1.4/1.5ppt below GSe/BBG consensus. Product mix continues to improve with HVLP3+ copper contribution at close to 20% (vs. 15-20% in 2Q26). Co-Tech's OPEX increased to NT$90mn (vs. NT$83mn in 2Q26). NI was 8/4% lower than GSe/BBG consensus mainly due to the lower than expected GM.

For 4Q26, we expect Co-Tech's revenue will increase by 8% QoQ, mainly driven by (1) price hikes of ~10% QoQ across all copper foil products (we saw price hike starting to accelerate from late June, and we expect to see prices increase to further accelerate in 4Q26), (2) initial shipment of higher ASP/margin next gen products, including HVLP5 and RG313+, and (3) higher HVLP3+ copper foil contribution due to an increase in capacity (HVLP3+ capacity could reach 250 tons/month by end of 2026 vs. 200-250 tons/month in 3Q26). On GM, we expect the 4Q26 level to be 31.4% (4.7ppt QoQ increase), mainly due to the improved product mix while the summer electricity rates impact comes to an end (the impact ended by mid-October).

CB issuance plan announced to fund further capacity expansion in Malaysia: Co-Tech announced on Nov 6 its plan to issue CB (Convertible Bond) of up to NT$7bn, supporting the company's Plant 4 expansion in Malaysia, which the company is expected to spend NT$7-10bn on two phases, with each phase expected to add ~800tons/month of effective HVLP4+ capacity (based on yield of 50-60%). The two phases are targeted to reach MP by end of 2028/29, respectively. Full conversion of the CB would result in less than 10% EPS dilution per GSe (based on the average share price over the past week), while each phase of the expansion could contribute NT$11bn+ in revenue at full operation based on our estimate (vs. Co-Tech's 2025 revenue of NT$7.9bn).

BUY

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Key Data

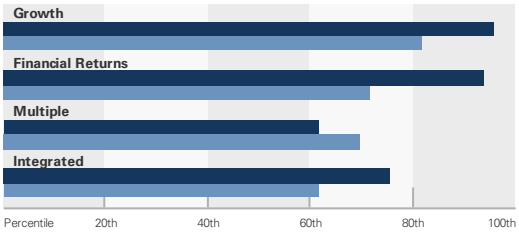
Market cap: NT$76.5bn / $2.3bn
Enterprise value: NT$76.4bn / $2.3bn
3m ADTV: NT$8.0bn / $249.7mn
Taiwan
Greater China Electronic Components
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**7,879.9**	**11,939.3**	**22,342.2**	**35,362.9**
Revenue (NT$ mn) Old	7,879.9	11,922.6	22,259.2	30,771.0
EBITDA (NT$ mn)	1,537.7	3,163.9	7,997.1	14,353.4
EPS (NT$) New	**4.21**	**9.71**	**24.99**	**45.04**
EPS (NT$) Old	4.21	9.98	26.51	42.58
P/E (X)	30.2	31.2	12.1	6.7
P/B (X)	4.3	8.7	6.3	4.2
Dividend yield (%)	1.6	1.5	3.9	7.1
CROCI (%)	9.0	17.1	39.0	53.0

	9/26	12/26E	3/27E	6/27E
EPS (NT$)	2.40	3.09	4.12	5.41

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

Co-Tech Development Corp. (8358.TWO)

Rating since May 19, 2026

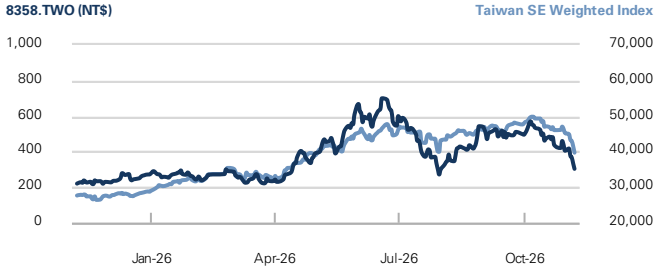
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	30.2	31.2	12.1	6.7
P/B (X)	4.3	8.7	6.3	4.2
FCF yield (%)	(0.4)	1.2	(1.0)	4.5
EV/EBITDAR (X)	21.0	24.2	9.8	5.4
EV/EBITDA (excl. leases) (X)	21.0	24.2	9.8	5.4
CROCI (%)	9.0	17.1	39.0	53.0
ROE (%)	15.1	30.1	60.5	75.5
Net debt/equity (%)	3.3	(1.5)	14.8	7.6
Net debt/equity (excl. leases) (%)	3.3	(1.5)	14.8	7.6
Interest cover (X)	53.1	137.5	9.8	8.9
Days inventory outst, sales	38.4	31.5	24.0	23.2
Receivable days	96.2	83.5	71.7	76.7
Days payable outstanding	16.6	16.2	16.5	17.2
DuPont ROE (%)	14.1	27.9	52.2	63.0
Turnover (X)	0.8	1.0	0.3	0.4
Leverage (X)	1.3	1.3	7.2	5.3
Gross cash invested (ex cash) (NT$)	14,465.1	15,469.6	20,827.2	26,528.1
Average capital employed (NT$)	6,866.3	8,214.2	11,293.0	16,698.7
BVPS (NT$)	29.74	34.80	47.85	71.48

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	15.5	51.5	87.1	58.3
EBITDA growth	24.1	105.7	152.8	79.5
EPS growth	15.3	130.7	157.4	80.2
DPS growth	33.3	130.7	157.4	80.2
EBIT margin	18.4	25.7	35.3	40.2
EBITDA margin	19.5	26.5	35.8	40.6
Net income margin	13.5	20.6	28.3	32.3

Price Performance



	3m	6m	12m
Absolute	(21.1)%	(33.9)%	33.5%
Rel. to the Taiwan SE Weighted Index	(11.8)%	(31.5)%	(6.2)%

Source: FactSet. Price as of 6 Nov 2026 close.

Income Statement (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	7,879.9	11,939.3	22,342.2	35,362.9
Cost of goods sold	(6,165.0)	(8,518.2)	(13,809.4)	(20,192.6)
SG&A	(205.4)	(239.0)	(443.9)	(601.2)
R&D	(62.2)	(113.7)	(201.1)	(353.6)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**1,537.7**	**3,163.9**	**7,997.1**	**14,353.4**
Depreciation & amortization	(90.4)	(95.3)	(109.3)	(138.0)
EBIT	**1,447.4**	**3,068.5**	**7,887.8**	**14,215.5**
Net interest inc./(exp.)	(17.1)	(18.5)	(802.7)	(1,241.5)
Income/(loss) from associates	–	–	–	–
Pre-tax profit	**1,340.7**	**3,075.0**	**7,887.8**	**14,215.5**
Provision for taxes	(278.2)	(620.2)	(1,558.3)	(2,807.3)
Minority interest	–	–	–	–
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**1,062.5**	**2,454.8**	**6,329.5**	**11,408.2**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**1,062.5**	**2,454.8**	**6,329.5**	**11,408.2**
EPS (basic, pre-except) (NT$)	**4.21**	**9.71**	**24.99**	**45.04**
EPS (diluted, pre-except) (NT$)	**4.21**	**9.71**	**24.99**	**45.04**
EPS (basic, post-except) (NT$)	**4.21**	**9.71**	**24.99**	**45.04**
EPS (diluted, post-except) (NT$)	**4.21**	**9.71**	**24.99**	**45.04**
DPS (NT$)	2.00	4.61	11.88	21.41
Div. payout ratio (%)	47.5	47.5	47.5	47.5

Balance Sheet (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	744.6	1,123.5	69,196.3	69,619.4
Accounts receivable	2,389.4	3,074.3	5,702.6	9,151.4
Inventory	941.1	1,117.6	1,817.4	2,673.0
Other current assets	77.9	77.9	77.9	77.9
Total current assets	**4,153.0**	**5,393.3**	**76,794.2**	**81,521.7**
Net PP&E	4,597.6	5,503.2	9,561.5	13,591.1
Net intangibles	5.0	4.1	3.2	2.3
Total investments	582.5	582.5	582.5	582.5
Other long-term assets	108.0	108.0	108.0	108.0
Total assets	**9,446.1**	**11,591.1**	**87,049.3**	**95,805.6**
Accounts payable	280.5	475.7	771.1	1,127.6
Short-term debt	993.4	993.4	993.4	993.4
Short-term lease liabilities	–	–	–	–
Other current liabilities	646.8	1,308.6	3,150.2	5,564.0
Total current liabilities	**1,920.7**	**2,777.6**	**4,914.7**	**7,685.0**
Long-term debt	–	–	70,000.0	70,000.0
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	14.5	14.5	14.5	14.5
Total long-term liabilities	**14.5**	**14.5**	**70,014.5**	**70,014.5**
Total liabilities	**1,935.2**	**2,792.1**	**74,929.2**	**77,699.5**
Preferred shares	–	–	–	–
Total common equity	7,510.9	8,799.0	12,120.2	18,106.1
Minority interest	**--**	**--**	**--**	**--**
Total liabilities & equity	**9,446.1**	**11,591.1**	**87,049.3**	**95,805.6**
Net debt, adjusted	248.7	(130.2)	1,797.0	1,374.0

Cash Flow (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	1,062.5	2,454.8	6,329.5	11,408.2
D&A add-back	90.4	95.3	109.3	138.0
Minority interest add-back	–	–	–	–
Net (inc)/dec working capital	(838.3)	(666.3)	(3,032.6)	(3,948.1)
Other operating cash flow	47.9	–	0.0	0.0
Cash flow from operations	**362.5**	**1,883.9**	**3,406.2**	**7,598.1**
Capital expenditures	(499.7)	(1,000.0)	(4,166.7)	(4,166.7)
Acquisitions	–	–	–	–
Divestitures	2.0	–	–	–
Others	(294.6)	–	–	–
Cash flow from investing	**(792.2)**	**(1,000.0)**	**(4,166.7)**	**(4,166.7)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(505.0)	(505.0)	(1,166.8)	(3,008.4)
Inc/(dec) in debt	(425.8)	–	70,000.0	–
Other financing cash flows	115.0	0.0	0.0	0.0
Cash flow from financing	**(815.8)**	**(505.0)**	**68,833.2**	**(3,008.4)**
Total cash flow	**(1,245.6)**	**378.9**	**68,072.8**	**423.1**
Free cash flow	(137.2)	883.9	(760.5)	3,431.4

Source: Company data, Goldman Sachs Research estimates.

Investment view - Capacity expansion extended into 2029, still insufficient to meet with client demand

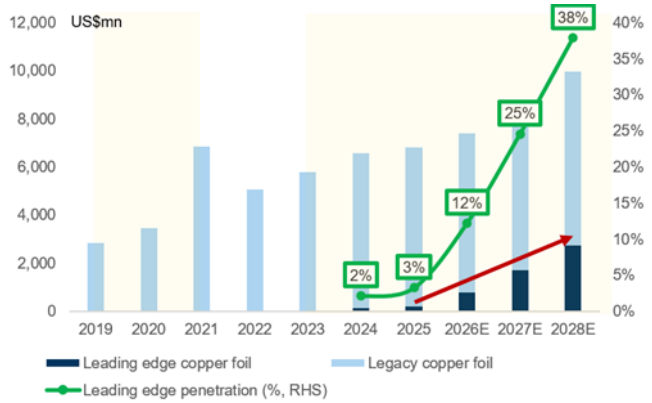
We maintain our positive view on Co-Tech's revenue and profitability outlook, underpinned by (1) a substantial capacity ramp-up, with Co-Tech's high-end capacity will increase by 3.5x+/75%+/50%+ by 2027/28/29 end (vs. 2026 end), outpacing the expansion expected from other major competitors and supporting further market share gains, and (2) supply condition for high-end copper foil remains tight, supporting a better pricing environment, and we expect price increase to accelerate in coming quarters/years.

We continue to believe Co-Tech is well-positioned to benefit from the structural demand for high end copper foil in a shortage environment, as the company has announced capacity expansion plans for a new Plant 4 in Malaysia (see here), with capacity already secured by multiple customers. The company now targets its monthly HVLP3+ effective capacity to reach 833/1666/2500 tons/month by 2027/28/29 end (vs. current HVLP3+ effective capacity of 200-250 tons/month). Despite the proactive capacity expansion, the planned capacity additions remain insufficient to fully meet with demand from key customers. This should enable the company to further expand market share amid high end copper foil supply shortage environment, and we expect the company's HVLP3+ market share to further expand to 41/53% in 2027/28E (vs. 19% in 2026E).

We expect high-end copper foil TAM to reach US$2.7bn by 2028E (Exhibit 1, with 133% 2025-28E CAGR), following our update on global AI PCB/CCL TAM (see here). We now believe the shortage ratio for HVLP3+ industry to be 39-48% in 2026-28E (Exhibit 4, slightly lower than our previous estimate, which was 45-55% in 2026-28E, as we factor in the latest capacity expansion plans), with the shortage already starting in 2H26, as the ramp-up of mainstream AI server projects increasingly adopts HVLP4+ copper foil. The wide shortage ratio would suggest an elevated industry UTR and provide further support for price increase over the coming quarters/years.

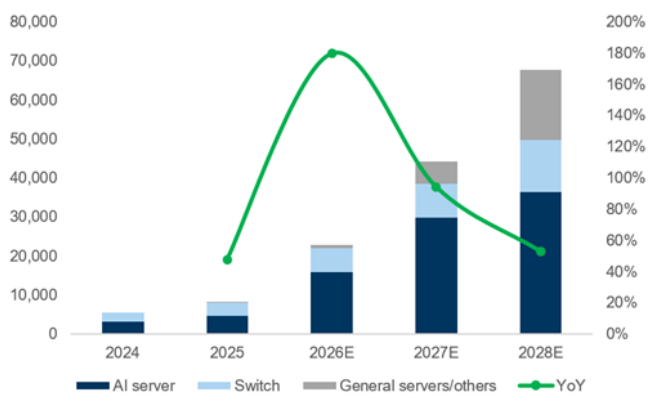
We maintain Buy on Co-Tech, with a new TP of NT$990 from NT$940.

Exhibit 1: We see solid growth of HVLP3+ copper foil demand (133% 2025-28E CAGR), which could account for 38% of the global PCB CF TAM in 2028
PCB copper foil TAM



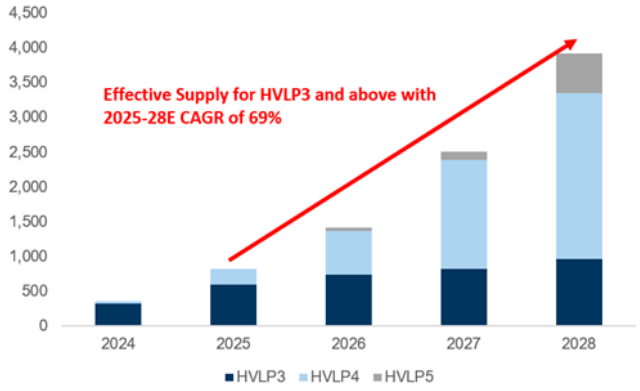
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: High-end CCL shipment should continue to increase, with solid demand from AI server/Switch
high-end copper foil demand (tons/year)



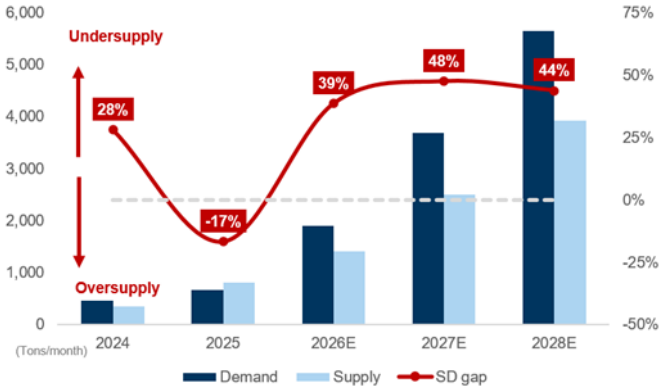
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: We believe the effective supply of HVLP3+ capacity will go up at a 69% 2025-28E CAGR (was 66% previously)
Tons/month



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: The industry should continue to be undersupplied in the next 2+ years despite major suppliers continuing to expand capacity



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: Co-Tech 3Q26 results comp table earnings comparison table

Co-Tech (8358.TWO)	3Q26			QoQ		YoY		Bloomberg consensus	
P&L (NT$mn)	Actual	GS est.	Diff (%)	2Q26	QoQ	3Q25	YoY	Consensus	%
Revenue	3,169	3,230	-2%	2,805	13%	1,986	60%	3,155	0%
Gross profits	847	907	-7%	768	10%	408	108%	889	-5%
Operating profits	757	818	-7%	685	11%	337	125%	798	-5%
Pre-tax income	760	818	-7%	688	10%	315	141%	789	-4%
Net earnings	608	657	-8%	545	12%	253	140%	633	-4%
EPS, NT$	2.40	2.61	-8%	2.16	11%	1.00	139%	2.50	-4%
Gross margin (%)	26.7%	28.1%	-1.4ppt	27.4%	-0.7ppt	20.5%	6.2ppt	28.2%	-1.5ppt
EBIT margin (%)	23.9%	25.3%	-1.4ppt	24.4%	-0.5ppt	17.0%	6.9ppt	25.3%	-1.4ppt
Net margin (%)	19.2%	20.4%	-1.2ppt	19.4%	-0.3ppt	12.8%	6.4ppt	20.1%	-0.9ppt

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Earnings revisions

We raise our 2028/29E revenue by 15/24% after factoring in the company's latest capacity expansion plans. We revise down our 2026E GM by 0.7ppt to factor in 3Q26 results as well as rising copper cost, and we revise down 2027/28/29E GM by 2.1/2.2/1.2ppt as we factor in a higher contribution from RG copper foil (with GM at 30%+) based on the company's latest capacity expansion plans as well as assuming higher copper cost, which will lead to slower GM expansion.

Exhibit 6: Co-Tech earnings revision table

Co-Tech P&L (NT$ mn)	2026 New	2026 Old	Diff.	2027 New	2027 Old	Diff.	2028 New	2028 Old	Diff.	2029 New	2029 Old	Diff.
Sales	11,939	11,923	0%	22,342	22,259	0%	35,363	30,771	15%	51,947	41,803	24%
Gross Profit	3,421	3,496	-2%	8,533	8,975	-5%	15,170	13,871	9%	24,461	20,177	21%
EBIT	3,069	3,147	-2%	7,888	8,332	-5%	14,215	12,983	9%	23,235	19,119	22%
Net Income	2,455	2,518	-3%	6,330	6,686	-5%	11,408	10,741	6%	18,648	15,347	22%
EPS (NT$)	**9.71**	**9.98**	-3%	**24.99**	**26.51**	-6%	**45.04**	**42.58**	6%	**73.62**	**60.84**	21%
Ratio analysis												
Gross margin	28.7%	29.3%	-0.7ppt	38.2%	40.3%	-2.1ppt	42.9%	45.1%	-2.2ppt	47.1%	48.3%	-1.2ppt
EBIT margin	25.7%	26.4%	-0.7ppt	35.3%	37.4%	-2.1ppt	40.2%	42.2%	-2.0ppt	44.7%	45.7%	-1.0ppt
Net margin	20.6%	21.1%	-0.6ppt	28.3%	30.0%	-1.7ppt	32.3%	34.9%	-2.6ppt	35.9%	36.7%	-0.8ppt

Source: Goldman Sachs Global Investment Research

Valuation

Maintain Buy on Co-Tech, with a new TP of NT$990 from NT$940, based on the same

22x 2028E EPS, which is +1SD above the company's upcycle valuation in the past 10-years, and factoring in our earnings revisions.

Exhibit 7: Co-Tech P&L table

NT$mn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E	2029E
Revenue	2,532	2,805	3,169	3,433	3,945	4,986	6,066	7,345	7,779	7,937	8,936	10,710	7,880	11,939	22,342	35,363	51,947
Gross profit	727	768	847	1,079	1,413	1,849	2,369	2,902	3,262	3,373	3,879	4,656	1,715	3,421	8,533	15,170	24,461
Operating expense	(78)	(83)	(90)	(101)	(112)	(145)	(182)	(206)	(210)	(214)	(241)	(289)	(268)	(353)	(645)	(955)	(1,226)
Operating income	649	685	757	978	1,301	1,704	2,186	2,697	3,052	3,159	3,638	4,367	1,447	3,069	7,888	14,215	23,235
Pretax income	649	688	760	978	1,301	1,704	2,186	2,697	3,052	3,159	3,638	4,367	1,341	3,075	7,888	14,215	23,235
Taxes expense	(129)	(143)	(152)	(196)	(257)	(333)	(429)	(539)	(603)	(617)	(714)	(873)	(278)	(620)	(1,558)	(2,807)	(4,587)
Net income	520	545	608	782	1,044	1,371	1,757	2,157	2,449	2,542	2,924	3,494	1,063	2,455	6,330	11,408	18,648
EPS, NT$	**2.06**	**2.16**	**2.40**	**3.09**	**4.12**	**5.41**	**6.94**	**8.52**	**9.67**	**10.04**	**11.54**	**13.79**	**4.21**	**9.71**	**24.99**	**45.04**	**73.62**
Ratio analysis and assumption																	
As % of sales																	
Gross margin	28.7%	27.4%	26.7%	31.4%	35.8%	37.1%	39.0%	39.5%	41.9%	42.5%	43.4%	43.5%	21.8%	28.7%	38.2%	42.9%	47.1%
Operating expense ratio	3.1%	3.0%	2.8%	3.0%	2.9%	2.9%	3.0%	2.8%	2.7%	2.7%	2.7%	2.7%	3.4%	3.0%	2.9%	2.7%	2.4%
Operating margin	25.6%	24.4%	23.9%	28.5%	33.0%	34.2%	36.0%	36.7%	39.2%	39.8%	40.7%	40.8%	18.4%	25.7%	35.3%	40.2%	44.7%
Net margin	20.5%	19.4%	19.2%	22.8%	26.5%	27.5%	29.0%	29.4%	31.5%	32.0%	32.7%	32.6%	13.5%	20.6%	28.3%	32.3%	35.9%
QoQ growth (%)																	
Revenue	17.0%	10.8%	13.0%	8.3%	14.9%	26.4%	21.7%	21.1%	5.9%	2.0%	12.6%	19.8%	-	-	-	-	-
Gross profit	28.3%	5.7%	10.3%	27.4%	31.0%	30.8%	28.1%	22.5%	12.4%	3.4%	15.0%	20.0%	-	-	-	-	-
Operating income	33.2%	5.5%	10.5%	29.2%	33.0%	31.0%	28.3%	23.3%	13.2%	3.5%	15.2%	20.0%	-	-	-	-	-
Net income	37.7%	4.9%	11.5%	28.7%	33.4%	31.4%	28.1%	22.8%	13.5%	3.8%	15.0%	19.5%	-	-	-	-	-
YoY growth (%)																	
Revenue	46.5%	40.1%	59.6%	58.6%	55.8%	77.8%	91.4%	113.9%	97.2%	59.2%	47.3%	45.8%	15.5%	51.5%	87.1%	58.3%	46.9%
Gross profit	100.4%	103.4%	107.6%	90.5%	94.4%	140.7%	179.7%	169.0%	130.8%	82.4%	63.8%	60.4%	26.7%	99.5%	149.4%	77.8%	61.2%
Operating income	112.3%	115.8%	124.5%	100.7%	100.4%	148.8%	188.8%	175.8%	134.6%	85.3%	66.4%	61.9%	26.6%	112.0%	157.1%	80.2%	63.4%
Net income	96.1%	226.4%	140.1%	107.3%	100.9%	151.6%	189.0%	175.8%	134.6%	85.3%	66.4%	61.9%	15.3%	131.0%	157.8%	80.2%	63.5%

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis & PT methodology and risks

Investment Thesis - Co-Tech

Co-Tech is a global leading general server copper foil supplier, with ~60% market share in 2025 per GSe. We expect the company to enjoy solid share gain opportunities in the near term, considering its proactive HVLP capacity expansion plan and strong know-how in the advanced copper foil industry. Also, adoption of HVLP4 copper foil from AI servers and 1.6T networking switches starting in 2H26 should be a key demand driver for Co-Tech, in our view. Additionally, the company's proactive pricing strategy and ability to improve production yield should drive revenue momentum in the long term.

We are Buy rated as we believe Co-Tech will see better revenue/profitability in the long term given its shift to a more premium product mix along with proactive capacity plans (Plant 3 to be ready by end of 2027 and Plant 4 phase 1 & 2 to be ready by end of 2028/29) and this should lead to strengthened valuations.

Valuation methodology: Our 12m TP of NT$990 is based on a 22x 2028E P/E, which is +1SD above the company's average upcycle valuation in the past 10-years.

Key downside risks: (1) earlier than expected CPO adoption in the computing IC, (2) slower than expected yield rate improvement speed, and (3) much stronger than expected capacity growth from HVLP peers, limiting pricing power

Disclosure Appendix

Reg AC

We, Chao Wang, Allen Chang and Al Wang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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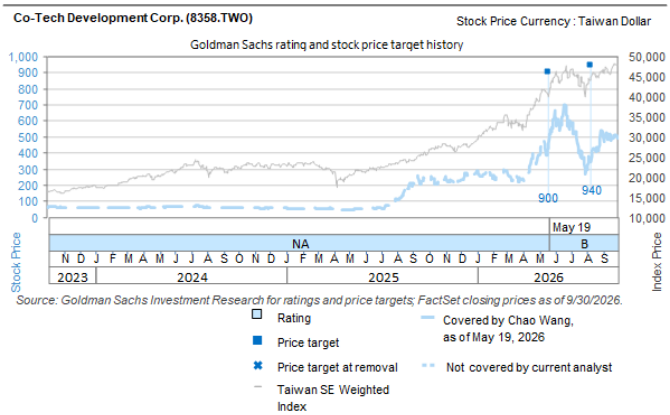
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Target price history table(s)

Co-Tech Development Corp. (8358.TWO)

Date of report	Target price (NT$)	Closing price (NT$)
09-Aug-26	940.00	352.00
19-May-26	900.00	429.00

Price targets shown in table(s) are unadjusted for corporate actions.

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